

Syllabus for Econ 239/Asian 231, Topics on Asian Economies

(This version: January 25, 2010)

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Department of Economics

Bowdoin College

Lecture time: M 11:30 - 12:55, W 11:30 - 12:55

Place: Searles-223

Contact Information

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Please note, I may not check emails frequently during evenings and weekends.

Course Description and Objectives

The first part of the course studies the basics of the theory of economic growth which provide a framework for analyzing the similarities and differences in growth experience of Asian countries. We will then focus on two of the economic heavy weights in Asia, Japan and China. Besides the specifics of these two economies, we will also discuss their relationship to the U.S. economy and what other countries may learn from their economic experience.

Writing Project Participation

Participation in the Bowdoin College Writing Project is mandatory for all students. See the handout about the writing project.

Key Dates

March 1, in-class midterm exam at 11:30 am

March 31, draft of short paper 1 due in class at 11:30am

April 12, short paper 1 due in class at 11:30am

April 28, draft of short paper 2 due in class at 11:30am

May 17, short paper 2 due at 4:00 pm

Textbook and Course Materials

Required textbooks:

- David Weil, *Economic Growth*, 2nd edition, Addison Wesley, 2008. (The 1st edition is fine too.)
- David Flath, *The Japanese economy*, 2nd edition, Oxford University Press, 2005.
- Barry Naughton, *The Chinese economy : transitions and growth*, MIT Press, 2007.

Other assigned readings and materials will be available through Blackboard and/or through the library's reserve system. As students in this class have very diverse backgrounds, certain materials may pose difficulty for some students. In such cases, please focus on understanding the main ideas and seek help from the instructor if necessary.

Web Information

All information, including information about reading materials, will be posted on the Blackboard web page for Econ 239, accessible at <http://blackboard.bowdoin.edu/>.

Evaluation

Your course grade is based on

assignments, 10%

midterm exam, 25%

short in-class quizzes, 10%

class participation, 10%

short paper 1, 20%

short paper 2, 25%

During the first five weeks there will be a few assignments designed to help you to understand the theory of economic growth which will be tested in the midterm. After the midterm, I will give frequent short quizzes based on assigned readings to make sure students keep up with the progress. The lowest quiz score will be dropped. Reading assigned materials carefully ahead of class will also contribute to thoughtful student participation in class.

To demonstrate your ability to apply economic theory, you will write two short papers. The short papers must address specific economic questions related to Asian economies. You can answer the posed question by synthesizing current economic literature, analyzing data, building an economic model, or other appropriate means approved by the instructor. The target reader of your paper should be any person with reasonable college education background, but not an economics major or minor. The main text of the first paper should be 3 to 5 pages

long (double-spaced, 12-point font, and 1-inch margins). The main text of the second paper should be 4 to 6 pages long (double-spaced, 12-point font, and 1-inch margins). You are required to provide a bibliography, which is not included in the pages allowed for the main text. Cover page, graphs, and tables are also not included in the page count of main text. For both the draft and final version of the papers, students must hand in word-processed hard copies. Electronic submissions will not be accepted. There are a list of possible topics for the short papers at the end of the syllabus, but if you can convince me, you may write on topics of your choice. The bottom line is talk to me early in the course about the papers.

Academic Honesty

Students should be familiar with the Bowdoin College Academic Honor Code, available at <http://www.bowdoin.edu/studentaffairs/student-handbook/college-policies/index.shtml>. In particular, for the assignments, students are encouraged to work together but they must each hand in their own copy of answers.

Tentative Schedule of Topics

Please note I reserve the right to drop topics from the list. However, I will not add new topics.

- **January 25, course introduction**
- **The theory of economic growth with applications to Asian economies**
 - January 27, basic ideas about economic growth
Weil, chapter 1 and 2
 - February 1, factor accumulation: physical capital
Weil, chapter 3
 - February 3, factor accumulation: human capital
Weil, chapter 6
 - February 8, productivity
Weil, chapter 7
Alwyn Young, The Tyranny of Numbers: Confronting the Statistical Realities of the East Asian Growth Experience
 - February 10, technology
Weil, chapter 8
The Economist, Secret sauce

- February 15, economic openness and growth
Weil, Chapter 11
- February 17, the Asian financial crisis in 1997
S. Radelet, J.D. Sachs, R.N. Cooper, and B.P. Bosworth, The East Asian Financial Crisis: Diagnosis, Remedies, Prospects.
- February 22, fundamentals: government, institution, and culture
Weil, chapter 12 and 13
- February 24, fundamentals: geography, climate, and natural resources
Weil, chapter 15

- **March 1, in-class midterm exam**

- **The Japanese economy**

- March 3, the Japanese economy between 1603 and 1912
Flath, chapter 2
- March 8, the Japanese economy between 1912 and 1945
Flath, chapter 4
- March 10, postwar recovery
Flath chapter 4
in-class film viewing (20 minutes): Japan 2000, Against All the Odds, BBC
- March 29, macroeconomics
Flath, chapter 6
Fumio Hayashi and Edward C. Prescott, The 1990s in Japan: A Lost Decade
The Economist, To lose one decade may be misfortune...
- March 31, international trade
Flath, chapter 7
in-class film viewing (20 minutes): Japan 2000, The Hi-tech Road, BBC
- April 5, international finance
Flath, chapter 8
- April 7, finance and economic bubble
Flath chapter 13
in-class film viewing (40 minutes): The Japanese Economic Bubble
The Economist, An end to the Japanese lesson

- **The Chinese economy**

- April 12, geography of China and the Chinese economy before 1949
Naughton chapter 1 and 2
BBC News, China economy sees strong growth
- April 14, socialist era
Naughton chapter 3
in-class film viewing: China (60 minutes): A Century of Revolution, Mao Years (part 1)
- April 19, socialist era
Naughton chapter 3
in-class film viewing: China (60 minutes): A Century of Revolution, Mao Years (part 2)
- April 21, transition and reform
Naughton chapter 4
- April 26, transition and reform
Naughton chapter 4
in-class film viewing (30 minutes): China in the red
- April 28, international trade
Naughton chapter 16
The Economist, Fear of the dragon
- May 3, international finance
Naughton chapter 17
David Backus and Thoma Cooley, Global 'Imbalances' and the Crisis
Andrew Baston and Deborah Solomon, Tensions Rise Over Yuan
Michael Spence, The west is wrong to obsess about the renminbi
- May 5, the urban-rural divide
Naughton chapter 5
- May 10, pressure on environment and future perspective
Naughton chapter 20
The Economist, Not just another fake
- May 12, overflow

List of Possible Topics for Short Papers

Short paper 1

- Is there a new tale of the two cities of Hong Kong and Singapore?
- Evaluating the growth performance of a group of Asian economies (using growth accounting)
- The impact of the Asian financial crisis
- Cultural value (name a specific one) and economic growth in Asia
- Institution and economic growth in Asia
- Are there countries in Asia that suffer from a resource curse?

Short paper 2

- The economic performance of Japan after the lost decade
- What can other countries learn from the Japanese economic bubble?
- What are the macroeconomic policy options of Japan during the current global recession?
- Why are some Chinese families suffering during the economic transition? (Based on the documentary, China in the Red)
- Is the RMB undervalued and will an appreciation reduce the huge trade surplus of China?
- How can China boost domestic consumption and reduce the reliance on exports?